UNIVERSITY OF THE PUNJAB

Fourth Semester 2012
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 30 mins.**
Course Code: BUS-22352 **MAX. MARKS: 60**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Give short answers to the following questions: **(15x2=30)**

- **i.** Explain the phrase "Generally Accepted Accounting Principles".
- **ii.** Describe Going-Concern Assumption?
- **iii.** Explain the double entry system of accounting?
- **iv.** Define Accounting Cycle?
- **v.** What is a Trial Balance?
- **vi.** Define Accrued Expenses?
- **vii.** Define Current Assets?
- **viii.** Distinguish between "Periodic and Perpetual Inventory System".
- **ix.** What is Working Capital?
- **x.** Define Bank Reconciliation?
- **xi.** What is Contingent Liability?
- **xii.** What is Just-in-Time (JIT Inventory System)?
- **xiii.** Differentiate between FIFO and LIFO method?
- **xiv.** What is Capital Budgeting?
- **xv.** Distinguish between Capital & Revenue Expenditure?

Q.3. Play land operates a miniature golf course on rented land within a city park. Following is the company's adjusted trial balance at December 31, 1994. The company closes its accounts at the end of each calendar year. **(1x10=10)**

Play land
Adjusted Trial Balance
December 31, 1994

Cash	13,500 **$**	
Accounts Receivables	2,800	
Buildings	60,000	
Accumulated Depreciation: Building		12,000 **$**
Golf Course Structures	90,000	
Accumulated Depreciation: Golf Course Structures		30,000
Accounts Payable		7,700
Salaries Payable		2,300
Lynn George, Capital		108,000
Lynn George, Drawing	25,000	
Admissions Revenue		192,000
Advertising Expense	15,000	
Rent Expense	36,000	
Repairs Expense	5,200	
Salaries Expense	79,000	
Light and Power Expense	4,500	
Depreciation Expense: Buildings	6,000	
Depreciation Expense: Golf Course Structures	15,000	
Total	**352,000**	**352,000**

Instructions:

a) Prepare an income statement and a statement of owner's equity for the year ended December 31, 1994.

b) Prepare a balance sheet as on December 31, 1994.

UNIVERSITY OF THE PUNJAB

Fourth Semester 2013
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 30 mins.**
Course Code: BUS-22352 / BBA-205 **MAX. MARKS: 50**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Give short answers to the following questions: **(10x2=20)**

- **i.** Define periodic inventory system and perpetual inventory system?
- **ii.** Define Worksheet?
- **iii.** What is adjusted trial balance?
- **iv.** What is prepaid expense?
- **v.** What are the 8 steps of accounting cycle?
- **vi.** Define matching concept
- **vii.** What is contingent asset?
- **viii.** What is working capital and how is it calculated?
- **ix.** Differentiate between FIFO and LIFO methods of recording inventory?
- **x.** Define statement of retained earnings?

Q.3. The cash transactions and cash balances of Banner, Inc; for July 2012 were as follows: **(1x10=10)**

1. The ledger account for Cash showed a balance at July 31 of **$**125,568.
2. The July bank statement showed a closing balance of **$**114,828.
3. The cash received on July 31 amounted to **$**16,000. It was left at the bank on the July statement.
4. Also included with the July bank statement was a debit memorandum from the bank for **$**50 representing service charges for July.
5. A credit memorandum enclosed with the July bank statement indicated that a noninterest-bearing note receivable for **$**4,000 from Rene Manes, left with the bank for collection, had been collected and the proceeds credited to the account of Banner, Inc.
6. Comparison of the paid checks returned by the bank with the entries in the accounting records revealed that check no 821 for **$**519, issued July 15 in payment for office equipment, and had been erroneously entered in Banner's records as **$**915.
7. Examination of the paid checks also revealed that three checks, all issued in July had not yet been paid by the bank: no 811 for $314: no. 814 for **$**625; no. 823 for **$**175.
8. Included with the July bank statement was a **$**200 check drawn by Howard Williams, a customer of Banner, Inc. this check was marked "NSF" It had been included in the deposit of Jul 27 but had been charged back against the company's account on July 31.

Required: Prepare a bank reconciliation statement as at 2012.

Q.4. The following information is available on the Vanier Corporation - Assume 360 day a year. **(1x10=10)**

Balance Sheet As of December 2012 (In Thousands)

Cash	**$** 500	Accounts Payable	**$** 1000
Account Receivable	5000	Bank Loan	1000
Inventories	2000	Accruals	1100
Current Assets	**7500**	Current Liabilities	**3100**
		Long Term Debt	2650
Net Fixed Assets	2000	Common Stock	3750
Total Assets	**9500**	Total Liabilities and equity	**9500**

Income Statement for 2012 (In Thousands)

Credit Sales	**$** 8000
Cost of Goods Sold	2000
Gross Profit	**6000**
Selling and Admin Expenses	500
Operating Expenses	500
Profit before Taxes	**5000**
Income Taxes	400
Net Profit	**4600**

Calculate: i) Current Ratio **ii)** Quick Ratio **iii)** Net Profit Ratio **iv)** Gross Profit Ratio **v)** Average Collection Period.

Q.5. ABC Ltd. Uses a perpetual inventory system. The following are three recent merchandising transactions: **(1x10=10)**

June 10 Purchase 10 televisions from XYZ industries on account. Invoice price, **Rs**. 300 per unit, for a total of **Rs**. 3000. The terms of purchase were 2/10, n/30

June 15 Sold one of these televisions for **Rs**. 450 cash purchased at a cost price of **Rs**. 300 per unit.

June 20 Paid the account payable to XYZ Industries within the discount period.

Instructions:

Prepare journal entries to record these transactions assuming that ABC Ltd records purchase of merchandise at:

a. Periodic Inventory System

b. Perpetual Inventory System

UNIVERSITY OF THE PUNJAB

Fourth Semester 2014
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 30 mins.**
Course Code: BBA-205 **MAX. MARKS: 60**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Give short answers to the following questions: **(10x2=20)**

- **i.** Compare accrual basis v/s cash basis.
- **ii.** What is realization concept?
- **iii.** Explain the double entry system of accounting?
- **iv.** Define contra asset account?
- **v.** Distinguish between book value and market value?
- **vi.** Define Accrued Expenses?
- **vii.** Distinguish between Periodic and Perpetual Inventory System?
- **viii.** What is Just-In-Time (JIT) Inventory System?
- **ix.** Differentiate between FIFO and LIFO methods?
- **x.** How is total asset turnover computed? Why would a financial statement user be interested in total asset turnover?

Q.3. Brushstroke art studio, Inc provides quality instruction to aspiring artists. The business adjusts its accounts monthly, but performs closing entries annually on December 31, 2005. **(1x10=10)**

Brushstroke art studio, Inc.
Unadjusted Trial Balance
December 31, 2005

	DEBIT $	CREDIT $
Cash	22,380	
Clients Fees Receivable	71,250	
Supplies	6000	
Prepaid Studio Rent	2,500	
Studio Equipment	96,000	
Accumulated Depreciation: Studio Equipment		52,000
Accounts Payable		6,420
Note Payable		24,000
Interest Payable		480
Unearned Clients Fees		8,000
Income Taxes Payable		5,000
Capital Stock		50,000
Retained Earnings		20,000
Clients Fees Earned		82,310
Supply Expense	4,000	
Salary Expense	17,250	
Interest Expense	480	
Studio Rent Expense	11,250	
Utilities Expense	3,300	
Depreciation Expense: Studio Equipment	8,800	
Income Taxes Expense	5,000	
Total	**248,210**	**248,210**

Other Data:

1. Supplies on hand on December 31, 2005, total **$**1,000.
2. The studio pays rent quarterly (every 3 months). The last payment was made November 01, 2005. The next payment will be made early in February 2006.
3. Studio Equipment is being depreciated over 120 months (10 years).
4. On October 01, 2005, the studio borrowed **$**24,000 by signing a 12 month, 12 %, note payable. The entire amount, plus interest, is due on September 30, 2006.
5. On December 31, 2005. **$**3,000 of previously unearned client fees has been earned.
6. Accrued, but unrecorded and uncollected clients fees earned totals **$**690 at December 31, 2005.
7. Accrued, but unrecorded and unpaid salary expense totals **$**750 on December 31, 2005.
8. Accrued, Income taxes payable for the entire year ending December 31, 2005, total **$**7,000. The full amount is due early in 2006.

Instructions:

Prepare the necessary adjusting journal entries on December 31, 2005. Prepare also an adjusted trial balance dated December 31, 2005.

Q.4. **Explorer, Inc began** operations early in the current year **building luxury motor** homes. During the year the company started and completed **50 motor** homes at a cost of **$52,000** per unit. **Forty-Eight** of these completed motor homes were sold for **$80,000** each. In addition, the company had **5** partially completed motor homes in its factory at year-end. Total costs incurred during the year (summarized alphabetically) were as follows: **(1x10=10)**

Direct Materials Used	**$700,000**
Direct Labor Applied to Production	**800,000**
Income Taxes Expense	**105,000**
General and Administrative Expenses	**480,000**
Manufacturing Overhead	**1,280,000**
Selling Expense	**550,000**

Instructions: Compute for the current year:

1. Total manufacturing costs charged to work in process during the period.
2. Cost of finished goods manufactured.
3. Cost of goods sold.
4. Gross profit on sales.

Q.5. Play land operates a miniature golf course on rented land within a city park. Following is the company's adjusted trial balance at December 31, 1994. The company closes its accounts at the end of each calendar year. (1x10=10)

Play land
Adjusted Trial Balance
December 31, 1994

Cash	13,500 $	
Accounts Receivables	2,800	
Buildings	60,000	
Accumulated Depreciation: Building		12,000 $
Golf Course Structures	90,000	
Accumulated Depreciation: Golf Course Structures		30,000
Accounts Payable		7,700
Salaries Payable		2,300
Lynn George, Capital		108,000
Lynn George, Drawing	25,000	
Admissions Revenue		192,000
Advertising Expense	15,000	
Rent Expense	36,000	
Repairs Expense	5,200	
Salaries Expense	79,000	
Light and Power Expense	4,500	
Depreciation Expense: Buildings	6,000	
Depreciation Expense: Golf Course Structures	15,000	
Total	**352,000**	**352,000**

Instructions:

a) **Prepare an income statement and a statement of owner's equity for the year ended December 31, 1994.**
b) **Prepare a balance sheet as on December 31, 1994.**

UNIVERSITY OF THE PUNJAB

Fourth Semester 2015
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 30 mins.**
Course Code: BBA-205 **MAX. MARKS: 50**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Define the following Terms: **(10x2=20)**

- **i.** Define operating cycle of a merchandising company.
- **ii.** Define financial assets with example.
- **iii.** Write down the name of any three liquidity ratios.
- **iv.** Differentiate between LIFO and FIFO.
- **v.** Differentiate between journal and journalizing.
- **vi.** Define Cost Principle.
- **vii.** Define Bank Reconciliation Statement.
- **viii.** Define working capital and its formula.
- **ix.** Define Periodic Inventory system.
- **x.** Define Retained earnings.

Q.3. The cash transactions and cash balances of Dell Inc. for December 2014 whereas follow: **(10x1=10)**

1. The ledger account for Cash showed a balance on December 31 of **$**125,568.
2. The December bank statement showed a closing balance of **$**114,828.
3. The cash received on December 31 amounted to **$**16,000. It was left at the bank on the December statement.
4. Also included with the December bank statement was a debit memorandum from the bank for **$**50 representing service charges for December.
5. A credit memorandum enclosed with the December bank statement indicated that a non-interest-bearing note receivable for **$**4,000 from Rene Manes, left with the bank for collection, had been collected and the proceeds credited to the account of Dell, Inc.
6. Comparison of the paid checks returned by the bank with the entries in the accounting records revealed that check no 821 for **$**519, issued December 15 in payment for office furniture, and had been erroneously entered in Dell's records as **$**915.
7. Examination of the paid checks also revealed that three checks, all issued on December, had not yet been paid by the bank: no 811 for **$**314: no. 814 for **$**625; no. 823 for **$**175.
8. Included with the December bank statement was a **$**200 check drawn by Charis Williams, a customer of Dell, Inc. this check was marked "NSF" It had been included in the deposit of December 17 but had been charged back against the company's account on December 31.

Required: Prepare a Bank Reconciliation Statement as on 2014.

Q.4. Modern Consulting service, Inc., adjusts its accounts every month. The following is the company's year-end unadjusted trial balance dated December 31, 2014 (Keep in mind that adjusting entries already have been made for the first 11 month of 2014, but have not been made for December) **(10x1=10)**

MODERN CONSULTING SERVICES, INC.
Unadjusted Trail Balance
December 31, 2014

	DEBIT $	CREDIT $
Cash	49,100	
Consulting Fees Receivable	23,400	
Prepaid Office Rent	6,300	
Prepaid Dues and Subscription	300	
Supplies	600	
Equipment	36,000	
Accumulated Depreciation: Equipment		10,200
Notes Payable		5,000
Income Tax Payable		12,000
Unearned Consulting fees		5,950
Capital Stock		30,000
Retained Earnings		32,700
Dividends	60,000	
Consulting Fees Earned		257,180
Salaries Expense	88,820	
Telephone Expense	2,550	
Rent Expense	22,000	
Income Tax Expense	51,000	
Dues and Subscription Expense	560	
Supplies Expense	16,000	
Depreciation Expense: Equipment	66,000	
Miscellaneous Expense	4,200	
	$ 353,030	**$ 353,030**

Other Data:

A. On December 1, the company signed a new rental agreement and paid three months' rent in advance at a rate of **$**2,100 per month. This advance payment was debited to the Prepaid Office Rent account.

B. Dues and subscription expiring during December amount to **$**50.

C. Estimated cost of unused supplies was **$**450 on December 31.

D. The useful life of the equipment has been estimated at five years from date acquisition.

E. Accrued interest on notes payable amounted to **$**100 at year end.

F. Consulting service valued **$**2,850 were rendered during December to clients who had made payment in advance.

G. It is the custom of firm to bill clients only when consulting work is completed or, in the case of prolonged engagement, at monthly intervals. At December 31, consulting service value at **$**11,000 had been rendered to clients but not yet billed. No advance payment had been received from these clients.

H. Salaries earned by employees but not paid as of December 31 amount to **$**1,700.

I. Income tax expense for the year is estimate at **$**56,000. Of this amount, **$**51,000 has been recognized as expense in prior months, and **$**39,000 has been paid to tax department. The company plans to pay the **$**17,000 reminder of its income tax liability on January 15.

Required:

1) **Prepare necessary adjusting Journal entries.**
2) **Prepare adjust Trial Balance of year ended December 31, 2014.**
3) **Prepare Company Income statement for the period ended December 31, 2014, from adjust Trial Balance.**

Q.5. The Accounting staff of SUMS INC. has assembled the following information for the year ended December 31, 2014 **(10x1=10)**

Cash and cash equivalent Jan. 1	**$** 35,800
Cash and cash equivalents, Dec. 31	74,800
Cash paid to acquire plant assets	21,000
Proceeds from short-term borrowing	10,000
Loan made to borrowers	5,000
Collection on Loans (Excluding interest)	4,000
Interest and Dividends received	27,000
Cash received from customers	795,000
Proceeds from sale plan assets	9,000
Dividends paid	55,000
Cash paid to Suppliers and Managers	635,000
Inters paid	19,000
Income tax paid	71,000

Required:

Prepare a statement of Cash Flow for the year ended December 31, 2014.

UNIVERSITY OF THE PUNJAB

Fourth Semester 2016
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 30 mins.**
Course Code: BBA-205 **MAX. MARKS: 50**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Give short answers to the following questions: **(10x2=20)**

- **i.** Compare accrual basis v/s cash basis.
- **ii.** What is realization concept?
- **iii.** Explain the double entry system of accounting?
- **iv.** Define contra asset account?
- **v.** Define amortization?
- **vi.** Enlist the financial statements.
- **vii.** What is Contingent Liability?
- **viii.** What is Just-In-Time (JIT) Inventory System?
- **ix.** Differentiate between FIFO and LIFO methods?
- **x.** What is Capital Budgeting?

Q.3. Brushstroke art studio, Inc provides quality instruction to aspiring artists. The business adjusts its accounts monthly but performs closing entries annually on December 31, 2005. **(10x1=10)**

Brushstroke art studio, Inc.
Unadjusted Trial Balance
December 31, 2005

	DEBIT $	CREDIT $
Cash	22,380	
Clients Fees Receivable	71,250	
Supplies	6000	
Prepaid Studio Rent	2,500	
Studio Equipment	96,000	
Accumulated Depreciation: Studio Equipment		52,000
Accounts Payable		6,420
Note Payable		24,000
Interest Payable		480
Unearned Clients Fees		8,000
Income Taxes Payable		5,000
Capital Stock		50,000
Retained Earnings		20,000
Clients Fees Earned		82,310
Supply Expense	4,000	
Salary Expense	17,250	
Interest Expense	480	
Studio Rent Expense	11,250	
Utilities Expense	3,300	
Depreciation Expense: Studio Equipment	8,800	
Income Taxes Expense	5,000	
Total	**248,210**	**248,210**

Other Data:

1. Supplies on hand on December 31, 2005, total **$**1,000.
2. The studio pays rent quarterly (every 3 months). The last payment was made November 01, 2005. The next payment will be made early in February 2006.
3. Studio Equipment is being depreciated over 120 months (10 years).
4. On October 01, 2005, the studio borrowed **$**24000 by signing a 12 month, 12 %, note payable. The entire amount, plus interest, is due on September 30, 2006.
5. At December 31, 2005. **$**3,000 of previously unearned client fees has been earned.
6. Accrued, but unrecorded and uncollected clients' fees earned totals **$**690 at December 31, 2005.
7. Accrued, but unrecorded and unpaid salary expense totals **$**750 at December 31, 2005.
8. Accrued, Income taxes payable for the entire year ending December 31, 2005, total **$**7,000. The full amount is due early in 2006.

Instructions:

Prepare the necessary adjusting journal entries on December 31, 2005. Prepare also an adjusted trial balance dated December 31, 2005.

Q.4. Explorer, Inc began operations early in the current year **building luxury motor** homes. During the year the company started and completed **50 motor** homes at a cost of **$52,000 per unit**. **Forty-Eight** of these completed motor homes were sold for **$80,000 each**. In addition, the company had **5** partially completed motor homes in its factory at year-end. Total costs incurred during the year (summarized alphabetically) were as follows: **(10x1=10)**

Direct Materials Used	**$700,000**
Direct Labor Applied to Production	**800,000**
Income Taxes Expense	**105,000**
General and Administrative Expenses	**480,000**
Manufacturing Overhead	**1,280,000**
Selling Expense	**550,000**

Instructions: Compute for the current year:

1. Total manufacturing costs charged to work in process during the period.
2. Cost of finished goods manufactured.
3. Cost of goods sold.
4. Gross profit on sales.

Q.5. Play land operates a miniature golf course on rented land within a city park. Following is the company's adjusted trial balance at December 31, 1994. The company closes its accounts at the end of each calendar year. **(10x1=10)**

Play land
Adjusted Trial Balance
December 31, 1994

Cash	13,500 **$**	
Accounts Receivables	2,800	
Buildings	60,000	
Accumulated Depreciation: Building		12,000 **$**
Golf Course Structures	90,000	
Accumulated Depreciation: Golf Course Structures		30,000
Accounts Payable		7,700
Salaries Payable		2,300
Lynn George, Capital		108,000
Lynn George, Drawing	25,000	
Admissions Revenue		192,000
Advertising Expense	15,000	
Rent Expense	36,000	
Repairs Expense	5,200	
Salaries Expense	79,000	
Light and Power Expense	4,500	
Depreciation Expense: Buildings	6,000	
Depreciation Expense: Golf Course Structures	15,000	
Total	**352,000**	**352,000**

Instructions:

c) **Prepare an income statement and a statement of owner's equity for the year ended December 31, 1994.**
d) **Prepare a balance sheet as on December 31, 1994.**

UNIVERSITY OF THE PUNJAB

Fourth Semester 2017
<u>Examination: B.S. 4 Years Programme</u>

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 30 mins.**
Course Code: BBA-205 / BUS-22352 **MAX. MARKS: 50**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Give short answers. **(10x2=20)**

i. What is a **Bank Reconciliation Statement**?
ii. Define **Financial Assets**.
iii. Define **Stakeholders**.
iv. Differentiate between a **Perpetual** and a **Periodic Inventory System**.
v. Define **Depreciation**.
vi. What is meant by **Consistency Principle**?
vii. Define Inventory **Turnover Rate**.
viii. Differentiate between **Capital Expenditures** and **Revenue Expenditures**.
ix. Define **Gross Profit Margin** and give its **Formula**.
x. Define **Retained Earnings**.

Q.3. On **April 1, 2010**, <u>Bestway Industries</u> purchased new equipment at a cost of **$325,000**. The <u>useful life</u> of this equipment was estimated at **5** years, with a <u>residual value</u> of **$25,000**.

Requirements: **(10x1=10)**

a. **Compute the annual depreciation expense for each year until this equipment becomes fully depreciated under each method listed below. Because you will record depreciation for only a fraction of a year in 2010, depreciation will extend through 2015 for both methods. Show supporting computations.**

   i) **Straight-line, with depreciation for fractional years rounded to the nearest whole month.**

   ii) **Diminishing balance method using 40% rate of depreciation with half-year convention. Limit depreciation in 2015 to an amount that reduces the undepreciated cost to the estimated residual value.**

b. **Assume that the equipment is sold at the end of Dec. 2012 for $176,250 cash. Record the necessary gain or loss resulting from the sale under the straight-line method.**

Q.4. The July bank statement of Parkview Company shows a bank balance at July 31, 2017, of **$**5,000.17 whereas on the same date, Parkview's ledger shows a bank balance of **$**4,262.83. **(10x1=10)**

The employee preparing the bank reconciliation has identified the following:

i. A deposit of **$**410.90 made after banking hours on July 31 does not appear in the bank statement.

ii. Four cheques issued in July have not yet cleared the bank. These cheques are:

Cheque No.	**Date**	**Amount**
881	July 1	**$** 100.00
888	July 14	10.25
890	July 16	402.50
891	July 17	205.00

iii. Two credit memoranda were included in the bank statement:

Date	**Amount**	**Explanation**
July 22	**$** 500.00	Proceeds from collection of a non-interest bearing note receivable from **J. David**. The bank's collection department collected this note for Parkview Company.
July 31	24.74	Interest earned on average account balance during July.

iv. Two debit memoranda accompanied the bank statement:

Date	**Amount**	**Explanation**
July 22	**$** 5.00	Fee charged by bank for handling collection of note receivable.
July 30	50.25	Cheque from customer **J.Ball** deposited by Parkview Company charged back - as NSF (Not Sufficient Funds).
July 31	12.00	Service charges by bank for the month of July.

v. Cheque no. 875 was issued to the telephone company in the amount of **$**85 but was erroneously recorded in the cash payments journal as **$**58. The cheque, in payment of telephone expense, was paid by the bank and correctly listed at **$**85 in the bank statement. In Parkview's ledger, the cash account is overstated by **$**27 because of this error.

Required: Prepare a Bank Reconciliation Statement as at July 31, 2017.

Q.5. Classic Studio, Inc., performs adjusting entries every month, but closes its accounts only at year-end. The studio's year-end adjusted trial balance dated December 31, 2016, appears below. **(10x1=10)**

Classic Studio, Inc.
Adjusted Trial Balance
December 31, 2016

	Debit	Credit
Cash	$ 171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		$ 7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned studio revenue		8,800
Capital stock		100,000
Retained earnings		40,000
Dividends	6,000	
Studio revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income tax expense	23,000	
Total	**$ 344,200**	**$ 344,200**

Requirement:

a) **Prepare an income statement and statement of retained earnings for the year ended Dec. 31, 2016. Also prepare the studio's balance sheet dated Dec. 31, 2016.**

b) **Prepare the necessary closing entries at Dec. 31, 2016.**

c) **Prepare an after-closing trial balance dated Dec. 31, 2016.**

UNIVERSITY OF THE PUNJAB

Fourth Semester 2018
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 45 mins.**
Course Code: BBA-205 / BUS-22352 **MAX. MARKS: 50**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Give short answers. **(10x2=20)**

- **i.** What is meant by JIT Inventory System?
- **ii.** Define Plant Assets.
- **iii.** Define Stockholders.
- **iv.** What is Conservatism Concept?
- **v.** Define Depletion.
- **vi.** What is meant by Operating Cycle?
- **vii.** Define Factoring.
- **viii.** Define Capital Expenditures.
- **ix.** Define Net Profit Margin and give its Formula.
- **x.** Define Inventory Turnover Rate.

Q.3. Explorer Scopes sells state-of-the-art telescopes to individuals and organizations interested in studying the solar system. At December 31 last year, the company's inventory amounted to **$**120,000. During the first week of January this year, the company made only one purchase and one sale. These transactions were as follows: **(10x1=10)**

Jan. 2 Sold one telescope costing **$**37,200 to Central State University for cash, **$**62,000.
Jan. 5 Purchased merchandise on account from Lunar Optics, **$**80,000. Terms, net **30** days.

Instructions:

- **a.** Prepare journal entries to record these transactions assuming that Explorer Scopes uses the perpetual inventory system. Use separate entries to record the sales revenue and the cost of goods sold for the sale on January 2.
- **b.** Compute the balance of the inventory account on January 7.
- **c.** Prepare journal entries to record the two transactions, assuming that Explorer Scopes uses the periodic inventory system.
- **d.** Compute the cost of goods sold for the first week of January assuming use of a periodic inventory system. Use your answer to part 'b' as the ending inventory.

Q.4. Public Image, a firm specializing in marketing and publicity services, uses the balance sheet approach to estimate uncollectible accounts expense. At year-end and aging of the accounts receivable produced the following classification: **(10x1=10)**

Not yet due……	**$ 333,000**
1 - 30 days past due……	**135,000**
31 - 60 days past due……	**58,500**
61 - 90 days past due……	**13,500**
Over 90 days past due……	**22,500**
	$ 562,500

On the basis of past experience, the company estimated the percentages probably uncollectible for the above five age groups to be as follows: Group 1, **1%**; Group 2, **3%**; Group 3, **10%**; Group 4, **20%**; Group 5, **50%**.

The allowance for doubtful accounts before adjustment at December 31 showed a credit balance of **$**8,100.

Instructions:

a. **Compute the estimated amount of uncollectible accounts based on the above classification by age groups.**

b. **Prepare the adjusting entry needed to bring the Allowance for Doubtful Accounts to the proper amount.**

c. **Show how accounts receivable would appear in the company's balance sheet at December 31.**

d. **Assume that on January 10 of the following year, Public Image learned that an accounts receivable that had originated on September 1 in the amount of $8,550 was worthless because of the bankruptcy of the customer, Cranston Manufacturing. Prepare the journal entry required on January 10 to write of this account.**

Q.5. Internet Consulting Service, Inc., adjusts its accounts every month. The following is the company's year-end unadjusted trial balance dated December 31, 2017 (Bear in mind that adjusting entries already have been made for the first 11 month of 2017, but have not been made for December.) **(10x1=10)**

INTERNET CONSULTING SERVICE, INC.
Unadjusted Trail Balance
December 31, 2017

	DEBIT $	CREDIT $
Cash	49,100	
Consulting Fees Receivable	23,400	
Prepaid Office Rent	6,300	
Prepaid Dues and Subscription	300	
Supplies	600	
Equipment	36,000	
Accumulated Depreciation: Equipment		10,200
Notes Payable		5,000
Income Tax Payable		12,000
Unearned Consulting fees		5,950
Capital Stock		30,000
Retained Earnings		32,700
Dividends	60,000	
Consulting Fees Earned		257,180
Salaries Expense	88,820	
Telephone Expense	2,550	
Rent Expense	22,000	
Income Tax Expense	51,000	
Dues and Subscription Expense	560	
Supplies Expense	16,000	
Depreciation Expense: Equipment	66,000	
Miscellaneous Expense	4,200	
	$ 353,030	**$ 353,030**

Other Data:

A. On December 1, the company signed a new rental agreement and paid three months' rent in advance at a rate of **$**2,100 per month. This advance payment was debited to the Prepaid Office Rent account.

B. Dues and subscriptions expiring during December amounted to **$**50.

C. An estimate of supplies on hand was made at December 31; the estimated cost of the unused supplies was **$**450.

D. The useful life of the equipment has been estimated at five years (60 months) from date of acquisition.

E. Accrued interest on notes payable amounted to **$**100 at year-end. (Set up accounts for Interest Expense and for Interest Payable.)

F. Consulting services valued at **$**2,850 were rendered during December to clients who had made payment in advance.

G. It is the custom of the firm to bill clients only when consulting work is completed, or in the case of prolonged engagements, at monthly intervals. At December 31, consulting services valued at **$**11,000 had been rendered to clients but not yet billed. No advance payments had been received from these clients.

H. Salaries earned by employees but not paid as of December 31 amount to **$**1,700.

I. Income taxes expense for the year is estimated at **$**56,000. Of this amount, **$**51,000 has been recognized as expense in prior months, and **$**39,000 has been paid to tax authorities. The company plans to pay the **$**17,000 remainder of its income tax liability on January 15.

Instructions:

a. **Prepare the necessary adjusting journal entries on December 31, 2017.**

b. **Prepare adjusted trial balance on December 31, 2017.**

c. **Prepare income statement for the year ended December 31, 2017.**

UNIVERSITY OF THE PUNJAB

Fourth Semester 2019
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 45 mins.**
Course Code: BBA-205 / BUS-22352 **MAX. MARKS: 50**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Give short answers. **(10x2=20)**

i. What is meant by Lower-of-cost-or-market (LCM)?
ii. Define Intangible Assets.
iii. Define Residual value.
iv. What is Net realizable value?
v. Define Marketable securities.
vi. What is meant by Aging the accounts receivable?
vii. Define Straight-line depreciation.
viii. Define Bank reconciliation.
ix. Define Amortization.
x. Define Periodic inventory system.

Q.3. Lamprino Appliance uses a perpetual inventory system. The following are three recent merchandising transactions: **(10x1=10)**

June 10 Purchased 10 televisions from Mitsu Industries on account. Invoice price **$**300 per unit, for a total of **$**3,000. The terms of purchase were 2/10, n/30.

June 15 Sold one of these televisions for **$**450 cash.

June 20 Paid the account payable to Mitsu Industries within the discount period.

Instructions:

a. **Prepare journal entries to record these transactions assuming that Lamprino records purchases of merchandise at:**

   1. **Net Cost**
   2. **Gross Invoice Price**

b. **Assume that Lamprino did not pay Mitsu Industries within the discount period but instead paid the full invoice price on July 10. Prepare journal entries to record this payment assuming that the original liability had been recorded at:**

   1. **Net Cost**
   2. **Gross Invoice Price**

Q.4. The Audiophile sells high-performance stereo equipment. Massachusetts Acoustic recently introduced the Camegie-440, a state-of-the-art speaker system. During the current year, The Audiophile purchased nine of these speaker systems at the following dates and acquisition costs: **(10x1=10)**

Date	Units Purchased	Unit Cost	Total Cost
Oct. 1	2	$ 3,000	$ 6,000
Nov. 17	3	3,200	9,600
Dec. 1	4	3,250	13,000
Available for sale during the year	**9**		**$ 28,600**

On November 21, The Audiophile sold four of these speaker systems to the Boston Symphony. The other five Carnegie-440s remained at December 31.

Instructions:

Assume that The Audiophile uses a perpetual inventory system. Compute:

1) **The cost of goods sold relating to the sale of Carnegie-440 speakers to the Boston Symphony and**

2) **The ending inventory of these speakers at December 31, using each of the following flow assumptions:**

a. **Average cost**
b. **First-in, first-out (FIFO)**
c. **Last-in, first-out (LIFO)**

Show the number of units and the unit costs of the cost layers comprising the cost of goods sold and the ending inventory.

Q.5. Mystic Masters, Inc., provides fortune telling services over the internet. In recent years the company has experienced severe financial difficulty. Its accountant prepares adjusting entries on a monthly basis, and closing entries on an annual basis, at December 31. An adjusted trial balance dated December 31, 2018, follows: **(10x1=10)**

MYSTIC MASTERS

Unadjusted Trail Balance

December 31, 2018

	Debit	**Credit**
Cash	$ 960	
Accounts Receivable	300	
Unexpired Insurance	2,000	
Prepaid Rent	1,300	
Supplies	200	
Furniture and Fixtures	8,400	
Accumulated Depreciation: Furniture and Fixtures		$ 5,200
Accounts Payable		6,500
Notes Payable		24,000
Salaries Payable		1,700
Interest Payable		360
Unearned Client Revenue		200
Capital Stock		4,000
Retained Earnings		2,600
Client Revenue Earned		52,000
Insurance Expense	6,000	
Office Rent Expense	9,000	
Supplies Expense	440	
Salary Expense	48,000	
Depreciation Expense: Furniture and Fixtures	1,400	
Office and Telephone Expense	3,000	
Internet Service Expense	4,900	
Legal Expense	1,500	
Interest Expense	4,000	
Miscellaneous Expense	5,000	
Total	**$ 96,600**	**$ 96,600**

Instructions:

a. **Prepare an income statement and statement of retained earnings for the year ended Dec. 31, 2018. Also prepare the studio's balance sheet dated Dec. 31, 2018.**
b. **Prepare the necessary closing entries at Dec. 31, 2018.**
c. **Prepare an after-closing trial balance dated Dec. 31, 2018.**

UNIVERSITY OF THE PUNJAB

Fourth Semester 2020
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 2 hrs. & 45 mins.**
Course Code: BBA-205 / BUS-22352 **MAX. MARKS: 50**

Attempt this Paper on Separate Answer Sheet provided.

Q.2. Write briefly on the following: **(10x2=20)**

- **i.** Working capital
- **ii.** Financial Assets
- **iii.** Cash book
- **iv.** Materiality principle
- **v.** Amortization
- **vi.** Operating Cycle
- **vii.** Inventory Subsidiary Ledger
- **viii.** Revenue Expenditures
- **ix.** Debt-equity ratio S
- **x.** Straight line method of depreciation

Q.3. During the current year, Ramirez Developers disposed of plant assets in the following transactions: **(10x1=10)**

Feb. 10 Office equipment costing **$**26,000 was given to a scrap dealer at no charge. At the date of disposal, accumulated depreciation on the office equipment amounted to **$**25,800.

Apr. 1 Ramirez sold land and a building to Claypool Associates for **$**900,000, receiving **$**100,000 cash and a five-year, 9 percent note receivable for the remaining balance. Ramirez's records showed the following amounts: Land, **$**50,000; Building, **$**550,000; Accumulated Depreciation: Building (at the date of disposal), **$**250,000.

Aug. 15 Ramirez traded in an old truck for a new one. The old truck had cost **$**26,000, and its accumulated depreciation amounted to **$**18,000. The list price of the new truck was **$**39,000, but Ramirez received a **$**10,000 trade-in allowance for the old truck and paid only **$**29,000 in cash. Ramirez includes trucks in its Vehicles account.

Oct. 1 Ramirez traded in its old computer system as part of the purchase of a new system. The old system had cost **$**15,000, and its accumulated depreciation amounted to **$**11,000. The new computer's list price was **$**8,000. Ramirez accepted a trade-in allowance of **$**500 for the old computer system, paying **$**1,500 down in cash and issuing a one-year, 8 percent note payable for the **$**6,000 balance owed.

Prepare journal entries to record each of the disposal transactions. Assume that depreciation expense on each asset has been recorded up to the date of disposal. Thus, you need not update the accumulated depreciation figures stated in the problem.

Q.4. Jan's Dance Studio, Inc., performs adjusting entries every month, but closes its accounts only at year-end. The studio's year-end adjusted trial balance dated December 31, 2019, appears below. (10x1=10)

JAN'S DANCE STUDIO, INC.
ADJUSTED TRIAL BALANCE
DECEMBER 31, 2019

	Debit	Credit
Cash	$ 171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		$ 7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned studio revenue		8,800
Capital stock		100,000
Retained earnings		40,000
Dividends	6,000	
Studio revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income tax expense	23,000	
Total	**$ 344,200**	**$ 344,200**

Requirement:

a. **Prepare an income statement for the year ended December 31, 2019.**
b. **Prepare statement of retained earnings for the year ended December 31, 2019.**
c. **Prepare the studio's balance sheet dated December 31, 2019.**

Q.5. On January 22, 2020, Dome, Inc., sold 700 toner cartridges to Maxine Supplies. Immediately prior to this sale, Dome's perpetual inventory records for these units included the following cost layers: **(10x1=10)**

Purchase Date	**Quantity**	**Unit Cost**	**Total Cost**
Dec. 12, 2019	400	$ 20	$ 8,000
Jan. 16, 2020	1,200	22	26,400
Total on hand	**1,600**		**$ 34,400**

a. **Complete a subsidiary ledger record for the toner cartridges using each of the three inventory valuation methods listed below. Your inventory records should show both purchases of this product, the sale on January 22, and the balance on hand at December 12, January 16, and January 22.**

b. **Prepare a separate journal entry to record the cost of goods sold relating to the January 22 sale of 700 toner cartridges, assuming that Dome uses:**

1. **Average Cost**
2. **FIFO**
3. **LIFO**

UNIVERSITY OF THE PUNJAB

Fourth Semester Spring 2022
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 3 hrs.**
Course Code: BBA-205 / BUS-22352 **MAX. MARKS: 60**

Attempt this Paper on Separate Answer Sheet provided.

Q.1. Answer the following short questions: **(6x5=30)**

1. In general terms, what are revenues and expenses? How are they related to the determination of an enterprise's net income or net loss?
2. What is the basic accounting equation? Briefly define the three primary elements in the equation.
3. Discuss the relationship among the income statement, the statement of retained earnings, and the balance sheet.
4. Do adjusting entries affect income statement accounts, balance sheet accounts, or both? Explain.
5. Briefly explain the concept of materiality. If an item is not material, how is the item treated for financial reporting purposes?
6. Discuss the relationship among the income statement, the statement of retained earnings, and the balance sheet.

Q.2. The cash transactions and cash balances of Dodge Inc. for November were as follows:

(1x15=15)

1. The ledger account for Cash showed a balance on November 30 of **$**6,750.
2. The November bank statement showed a closing balance of **$**4,710.
3. The cash received on November 30 amounted to **$**3,850. It was left at the bank in the night depository chute after banking hours on November 30 and therefore was not recorded by the bank on the November statement.
4. Also included with the November bank statement was a debit memorandum from the bank for **$**15 representing service charges for November.
5. A credit memorandum enclosed with the November bank statement indicated that an interest-bearing note receivable for **$**4,000 from Wright Sisters, left with the bank for collection, had been collected and the proceeds credited to the account of Dodge Inc.
6. Comparison of the paid checks returned by the bank with the entries in the accounting records revealed that check no. 810 for **$**430, issued November 15 in payment for computer equipment, had been erroneously entered in Dodge's records as **$**340.
7. Examination of the paid checks also revealed that three checks, all issued in November, had not yet been paid by the bank: no. 814 for **$**115; no. 816 for **$**170; no. 830 for **$**530.
8. Included with the November bank statement was a **$**2,900 check drawn by Steve Dial, a customer of Dodge Inc. This check was marked "NSF." It had been included in the deposit of November 27 but had been charged back against the company's account on November 30.

Instructions:

a. Prepare a bank reconciliation for Dodge, Inc., on November 30.

Q.3. Mystic Masters, Inc., provides fortune-telling services over the Internet. In recent years the company has experienced severe financial difficulty. Its accountant prepares adjusting entries on a monthly basis, and closing entries on an annual basis, on December 31. An adjusted trial balance dated December 31, 2011, follows: **(1x15=15)**

MYSTIC MASTERS
Unadjusted Trail Balance
December 31, 2011

	Debit	Credit
Cash	$ 960	
Accounts Receivable	300	
Unexpired Insurance	2,000	
Prepaid Rent	1,300	
Supplies	200	
Furniture and Fixtures	8,400	
Accumulated Depreciation: Furniture and Fixtures		$ 5,200
Accounts Payable		6,540
Notes Payable		24,000
Salaries Payable		1,700
Interest Payable		360
Unearned Client Revenue		200
Capital Stock		4,000
Retained Earnings		2,600
Client Revenue Earned		52,000
Insurance Expense	6,000	
Office Rent Expense	9,000	
Supplies Expense	440	
Salary Expense	48,000	
Depreciation Expense: Furniture and Fixtures	1,400	
Office and Telephone Expense	3,000	
Internet Service Expense	4,900	
Legal Expense	1,500	
Interest Expense	4,000	
Miscellaneous Expense	5,000	
Total	**$ 96,600**	**$ 96,600**

Instructions:

a. **Prepare an income statement and statement of retained earnings for the year ended Dec. 31, 2011. Also prepare the company's balance sheet dated Dec. 31, 2011. (Hint: The company incurred no income taxes expenses in 2011.)**

UNIVERSITY OF THE PUNJAB

Fourth Semester Spring 2023
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 3 hrs.**
Course Code: BBA-205 **MAX. MARKS: 60**

Attempt this Paper on Separate Answer Sheet provided.

Q.1. Answer the following short questions: **(6x5=30)**

1. Discuss the relationship among the income statement, the statement of retained earnings, and the balance sheet.
2. Do adjusting entries affect income statement accounts, balance sheet accounts, or both? Explain.
3. How do accrued but unpaid expenses affect the balance sheet?
4. Explain the need for closing entries and describe the process by which temporary owners' equity accounts are closed at year-end.
5. Explain the need for subsidiary ledgers in accounting for merchandising activities.
6. Briefly contrast the accounting procedures in perpetual and periodic inventory systems.

Q.2. Mary's TV uses a perpetual inventory system. The following are three recent merchandising transactions: **(1x15=15)**

Mar. 6, Purchased eight TVs from Whose Industries on account. Invoice price, **$**350 per unit, for a total of **$**2,800. The terms of purchase were 2/10, n/30.

Mar. 11, Sold two of these televisions for **$**600 cash.

Mar. 16, Paid the account payable to Whose Industries within the discount period.

Instructions:

a. Prepare journal entries to record these transactions assuming that Mary's records purchases of merchandise at:

1. **Net Cost**
2. **Gross Invoice Price**

b. Assume that Mary's did not pay Whose Industries within the discount period but instead paid the full invoice price on April 6. Prepare journal entries to record this payment assuming that the original liability had been recorded at:

1. **Net Cost**
2. **Gross Invoice Price**

Q.3. Jan's Dance Studio, Inc., performs adjusting entries every month, but closes its accounts only at year-end. The studio's year-end adjusted trial balance dated December 31, 2011, appears below. (Bear in mind, the balance shown for Retained Earnings was last updated on December 31, 2010) (1x15=15)

JAN'S DANCE STUDIO, INC.
ADJUSTED TRIAL BALANCE
DECEMBER 31, 2010

	Debit	Credit
Cash	$ 171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		$ 7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned studio revenue		8,800
Capital stock		100,000
Retained earnings		40,000
Dividends	6,000	
Studio revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
Total	**$ 344,200**	**$ 344,200**

Requirement:

a. **Prepare an income statement for the year ended December 31, 2011. Also prepare the studio's balance sheet dated December 31, 2011.**

UNIVERSITY OF THE PUNJAB

Fourth Semester Spring 2024
Examination: B.S. 4 Years Programme

Roll No. …………

PAPER: Financial Accounting (Advanced) **TIME ALLOWED: 3 hrs.**
Course Code: BBA-205 **MAX. MARKS: 60**

Attempt this Paper on Separate Answer Sheet provided.

Q.1. Answer the following short questions: **(10x3=30)**

- **i.** What is purpose for aging analysis of accounts receivables?
- **ii.** Define the term depletion.
- **iii.** What Is difference between current assets and non-current assets?
- **iv.** What is meant by residual value of an asset?
- **v.** Define Intangible Assets and Amortization.
- **vi.** Define and differentiate between periodic and perpetual inventory system.
- **vii.** Define the terms Inventory and Inventory shrinkage.
- **viii.** What are the major categories of property, plant and equipment (assets) as per IAS 16?
- **ix.** What is meant by deposit in transit with reference to bank reconciliation?
- **x.** What is going concern concept in accounting?

Q.2. Golf Arena operates a golf course a rented land within a park. Following is the company's adjusted trial balance at December 31, 2023. The company closes its accounts at the end of each calendar year. **(1x10=10)**

GOLF ARENA
Adjusted Trial Balance
December 31, 2023

Cash	13,500 **$**	
Accounts Receivables	2,800	
Buildings	60,000	
Accumulated Depreciation: Building		12,000 **$**
Golf Course Structures	90,000	
Accumulated Depreciation: Golf Course Structures		30,000
Accounts Payable		7,700
Salaries Payable		2,300
Lynn George, Capital		108,000
Lynn George, Drawing	25,000	
Admissions Revenue		192,000
Advertising Expense	15,000	
Rent Expense	36,000	
Repairs Expense	5,200	
Salaries Expense	79,000	
Light and Power Expense	4,500	
Depreciation Expense: Buildings	6,000	
Depreciation Expense: Golf Course Structures	15,000	
Total	**352,000**	**352,000**

Required: Prepare an Income statement and a statement of owner's equity for the year ended December 31, 2023.

Q.3. A Company began March with 73 units of inventory that cost $23 each. During the month, the company made the following purchases: **(1x10=10)**

March 4	**113 units @ $27**
12	**01 units @ $29**
19	**167 units @ $32**
25	**44 units @ $35**

The company uses periodic Inventory system, and the physical count on **March 31** Indicates that ending Inventory consists of **51 units**.

Required: Determine the ending Inventory and cost of goods sold for March under **(i)** weighted-average cost, **(ii)** FIFO cost.

Q.4. The following information is available to reconcile Louls Viton's bank statement with its cash book. **(1x10=10)**

1. The December 31 cash balance according to the accounting records is **$**1,610, and the bank statement balance for that date is **$**1,900.
2. Louls Viton's cash receipts of **$**800 were placed in the bank at night depository on December 31 but do not appear on December 31 bank statement.
3. Three checks amounting to **$**400, **$**200 and **$**100 are still outstanding.
4. When the December checks are compared with entries in the accounting records, it is found that Check number 6267 had been correctly drawn for **$**340 to pay for office supplies but was erroneously entered in the accounting record as **$**430.
5. A credit memorandum Indicates that the bank collected **$**500 cash on a note receivable for the company, deducted **$**30 collection fee, and credited the balance to the company's cash account. Louls Viton had not recorded this transaction before receiving the statement.
6. Two debit memoranda are enclosed with the statement and are unrecorded at the time of reconciliation. One debit memoranda **$**150 and dealt with an NSF check for **$**140 received from a customer in payment of its account. The bank assessed a **$**10 fee for processing it. The second debit memorandum is a **$**20 charged for check printing. Louls Viton had not recorded these transactions before receiving the statement.

Required:

Prepare a bank reconciliation statement from the above data.